

A decorative graphic on the left side of the page featuring seven hanging ornaments of various colors (yellow, red, teal) and shapes (teardrop, round) suspended by dotted lines.

CONCLUSION

Creation of such a trading system that works is the real art for a technical analyst. Once such a system has been created, more than half the battle has been won. The next phase is sticking to the systems and not letting our emotions corrode the system. Creating a system can take up to months or years and with a lot of practice. However, once it is created, it bears great results. We can get as creative as possible while formulating strategies and systems. Whatever idea we get, the best thing to do is to plot it on a chart and then backtest the same to check whether it works or not.

The progression that we will use to create and deploy a system includes multiple phases. We create multiple strategies and then put them together to form a trading system. We then backtest each of these manually for now. After that, we need to define rules about the assets to be used to trade, kinds of market conditions where each one of them will be used and so on. Lastly, work on a risk management strategy.

Once we have selected the strategies that are working in a back-test, we will next paper trade them in real markets for a while. We will write down all the trades that we are taking and then make changes as per the result and problems that we are facing. The next phase will involve following the system using small amounts. We will use a small amount in such a manner that even if we lose it, we shall not mind it as much. It is for experimentation. Once a trade has cleared all these levels, we will roll-out the full-fledged system and start trading based on the same. This is how a trading system is created from scratch and money is deployed based on such a system.